



POLICY // SUBCONTRACTOR DEFAULT INSURANCE

PROJECT ATTACHING COVERAGE FORM

This Policy is comprised of several provisions that define and govern coverage. Read the entire Policy carefully to understand your rights and duties, and to determine what is and is not covered.

Throughout this Policy, "Vantage" means Vantage Risk Specialty Insurance Company, the company providing this insurance, including its successors, assigns, or trustees. "Policy" means the combination of this document, the Declarations, and any Endorsements issued. Certain words and phrases having special meaning appear in **bold** and are defined in Section II. of this Policy. Other words and phrases that are "Capitalized", but that do not appear in bold, refer specifically to the corresponding item in the Declarations, refer to a clause specific definition, or refer to a specific Section of this Policy.

In consideration of payment of Premium and in reliance upon the statements contained in the Declarations and representations made during the underwriting process to induce Vantage to issue this insurance, Vantage agrees to provide coverage as follows:

I. INSURING AGREEMENT

Subject to the application of any **Retention** amounts stated in Items 4. and 5. of the Declarations, respectively, and the Limits of Insurance stated in Item 3. of the Declarations, Vantage will indemnify the **Insured** for **Loss**, provided that written notice of claim or potential claim is provided to Vantage strictly in accordance with Section VII.B. of this Policy.

This Policy is "named-perils" indemnity insurance and is neither an "all-risks" policy nor is it any type or form of liability insurance.

II. DEFINITIONS

- A. **Bodily Injury** means any and all physical injury, injury to the person, sickness, disease, or death suffered or sustained by any person(s), and any and all pain, suffering, mental anguish, or emotional injury or distress of any kind suffered or sustained by any person(s).
- B. **Covered Subcontract** means those written, binding agreements with respect to a **Scheduled Project** and **Fully Executed** by the **Insured** and a **Subcontractor**, setting forth an agreed scope of work, schedule, and price, and for which, the **Insured** has paid Premium in accordance with the other terms and conditions of this Policy. **Covered Subcontract** also includes written, binding purchase order agreements between the **Insured** and a vendor or supplier pursuant to which the **Insured** purchases materials or equipment to be incorporated into a **Scheduled Project**.

Notwithstanding any of the foregoing to the contrary, the following are not **Covered Subcontract(s)** unless specifically endorsed to this Policy:

1. Any agreement that does not require as its primary purpose the actual performance of work in connection with the installation, construction, or erection of structures or building systems with respect to the **Scheduled Project**, or the purchase of materials or equipment to be incorporated into the **Scheduled Project**.
2. Any agreement for which the primary purpose is the rental of equipment.
3. Any agreement that, at the time the agreement was **Fully Executed** or at the time the **Scheduled Project** was specifically endorsed to this Policy (whichever is later), provides or contemplates a period that is longer in duration for the subcontractor to substantially complete its performance thereunder than the period stated in Item 8.(c) of the Declarations.

If the period of substantial completion under an agreement that otherwise would constitute a **Covered Subcontract** is extended through **Fully Executed** change orders or other amendments or modifications to a period that is longer in duration than the period stated in Item 8.(c) of the Declarations, the **Deductible** applicable to any **Loss** that may arise in connection with such an agreement shall be double the amount stated in Item 4.(a) of the Declarations. This **Deductible** shall apply towards or erode the **Retention Aggregate** as stated in Item 5.(a) of the Declarations, but only in an amount no greater than the amount stated in Item 4.(a) of the Declarations. Notwithstanding the above, the **Insured** may submit a request to Vantage for approval of an increase to the **Covered Subcontract** period on a **Scheduled Project**. Vantage may, at its sole discretion, increase the **Covered Subcontract** period on a **Scheduled Project**, via Endorsement to the Policy.

4. Any agreement that, at the time the agreement was **Fully Executed** or at the time the **Scheduled Project** was specifically endorsed to this Policy (whichever is later), is for a value or in an amount that exceeds the **Subcontract Amount** Maximum set forth in Item 8.(a) of the Declarations.

If an agreement that otherwise would constitute a **Covered Subcontract** on a **Scheduled Project** exceeds the **Subcontract Amount** Maximum set forth in Item 8.(a) of the Declarations through **Fully Executed** change orders or other amendments or modifications to the agreement, the **Insured's Deductible** applicable to any **Loss** that may arise in connection with such an agreement shall be double the amount stated in Item 4.(a) of the Declarations. This **Deductible** shall apply towards or erode the **Retention Aggregate** as stated in Item 5.(a) of the Declarations, but only in an amount no greater than the amount stated in Item 4.(a) of the Declarations. Notwithstanding the above, the **Insured** may submit a request to Vantage for approval of an increase to the **Subcontract Amount** Maximum for a **Subcontractor** on a **Scheduled Project**. Vantage may, at its sole discretion, increase the **Subcontract Amount** Maximum for a **Subcontractor** on a **Scheduled Project**, via Endorsement to the Policy.

The provisions of Section II.B.4. will also apply to two or more agreements between the **Insured** and a subcontractor with respect to the same **Scheduled Project** when the sum of the value of all prices of all such agreements between the **Insured** and that same subcontractor exceed the **Subcontract Amount** Maximum even where one such agreement is excluded from coverage under this Policy.

5. Any agreement that, at the time the agreement was **Fully Executed** or at the time the **Scheduled Project** was specifically endorsed to this Policy (whichever is later), is for a value or amount that is less than the **Subcontract Amount** Minimum set forth in Item 8.(b) of the Declarations.
6. Any agreement between a **Joint Venture** and a party to the same **Joint Venture** or a subsidiary to a party to the **Joint Venture** that involves the actual performance of work in connection with the installation, construction, or erection of structures or building systems with respect to the **Scheduled Project(s)**.

C. **Default of Performance** means either of the following:

1. a breach by a **Subcontractor** of its **Covered Subcontract** which would allow the **Insured** to terminate the **Subcontractor** for cause, but not convenience, as determined by the **Insured** or a legally binding authority; or
2. where the **Insured** has incurred expenses for which the **Insured** is not entitled to reimbursement from the Owner regarding a **Covered Subcontract** in excess of the Supplementation Default Threshold set forth in Item 8.(d) of the Declarations.

A determination by a legally binding authority shall supersede any previous determination of **Default of Performance** by the **Insured**.

D. **Design Services** means design and similar professional services that include, but are not limited to, the following:

1. architectural, engineering, surveying, mapping, geotechnical, archaeological, environmental, and traffic

management services; and

2. supervisory or inspection activities performed in conjunction with the rendering of any professional services.
- E. **Direct Costs** means the cost of completing the defaulted **Subcontractor's Covered Subcontract** scope of work and obligations, but only to the extent that the cost of completing the defaulted **Subcontractor's** scope of work and obligations under the **Covered Subcontract** resulted directly from the **Default of Performance** and are specifically described below in Section VII.D.1.a. thru Section VII.D.1.e. herein. **Direct Costs** are not costs and expenses referred to and defined in Section II.H.1. through Section II.H.4. herein.
- F. **Financial Distress** means the occurrence of any of the following:
1. the **Subcontractor** is insolvent;
 2. voluntary or involuntary proceedings are initiated by or against the **Subcontractor** under Title 11 of the United States Code or similar laws of any state, province, territory, or possession, or under any similar law of another country; or
 3. a receiver, trustee, or similar officer is appointed for or on behalf of the **Subcontractor**.
- G. **Fully Executed** means signed by each and every person, natural or otherwise, that must sign the agreement or other document in order for the agreement or other document to have legal effect.
- H. **Indirect Costs** means those costs and expenses paid by the **Insured** that result directly from a **Default of Performance** of a **Covered Subcontractor**, and which are properly categorized as one of the following:
1. Extended general conditions – excluding home office overhead costs – that are directly charged to the **Scheduled Project**, unique to the **Scheduled Project**, and required to complete the **Scheduled Project**;
 2. Liquidated damages for delay that are charged to or asserted against the **Insured** by the Owner of the **Scheduled Project** whether paid by the **Insured** or withheld from payments due to the **Insured** by the Owner of the **Scheduled Project**;
 3. Acceleration costs paid by the **Insured** for subcontracted or self-performed work other than acceleration costs paid to the replacement subcontractors completing the actual construction work within the scope of the **Covered Subcontract**; and
 4. Any costs or expenses not referred to in Section II.H.1. through Section II.H.3. above that are paid by the **Insured**, and that both result directly from a **Default of Performance** and pertain to a scope of work other than the scope of work of the **Covered Subcontract**.

However, under no circumstances will Vantage reimburse the **Insured** for **Indirect Costs** to the extent that costs and expenses exceed the **Indirect Costs** Sublimit stated in Item 3.(c) 2. of the Declarations. Such costs and expenses in excess of the **Indirect Costs** Sublimit shall not be recoverable under this Policy.

- I. **Insured** means the person(s) stated in Item 1. of the Declarations or otherwise added by Endorsement to the Policy.
- J. **Joint Venture** means a business entity or other commercial alliance created by two or more parties, one of which is the **Insured**, that enables the parties to share or pool resources for the purposes of constructing a **Scheduled Project(s)**. A **Joint Venture** does not include the above-described arrangement where the **Insured** does not maintain a controlling interest in the **Joint Venture**, or where the **Fully Executed** agreement governing the **Joint Venture** does not specifically state that the **Insured** retains the final decision-making authority on behalf of the **Joint Venture** with respect to the implementation and administration of the **Qualification and Management Procedures** of the **Joint Venture**, including, but not limited to, entering into a **Covered Subcontract(s)**, placing a **Subcontractor(s)** in **Default(s)** of

Performance, and responding to or mitigating the resulting **Loss(es)**, if any, from a **Default(s) of Performance**.

- K. **Loss** means the amount paid by the **Insured** resulting from a **Default of Performance** by a **Subcontractor** under the terms of a **Covered Subcontract** on a **Scheduled Project** as determined by the calculation in Section VII.D. below.
- L. **Policy Period** means the period of time set forth in Item 2. of the Declarations or any shorter period of time resulting from cancellation of this Policy in accordance with Section IX.D. below.
- M. **Production Project** means any project that has for its intended purpose, either wholly or in part, the production of chemical products, nuclear power, electrical power, oil, gas, or similar fuel or power products.
- N. **Proof of Loss** means a written claim submission made by the **Insured** that is supported by the notice of **Default of Performance**, correspondence regarding the **Default of Performance**, the complete **Scheduled Project** subcontracts and the complete **Scheduled Project** contract between the Owner and the **Insured**, project payment documents, job cost, payroll and accounting records and documents, Owner contract native format schedule files and other project records and information, necessary to establish and describe, through reasonable and accepted industry methods and practices, that the amounts claimed as **Loss** by the **Insured** result from the default of a **Covered Subcontractor**.
- O. **Qualification and Management Procedures** means the processes, procedures, practices, and controls that the **Insured** warrants and represents to Vantage that it has in place to determine at the time of contracting and to ensure thereafter that a **Subcontractor** can successfully perform and complete a **Covered Subcontract**.
- P. **Residential Project** means any project, or portion thereof, for the construction of a building(s) or structure(s) intended to be used as a residence or place of habitation, and where a transferrable ownership interest is held by the resident, other occupant, or an entity. This project type includes, but is not limited to, single family homes, condominiums, or townhouses. This project type does not include nursing homes, assisted living facilities, long term care facilities, apartments, dormitories, hotels, temporary housing associated with military service, or any other multi-family residential or habitable structure that is available for rent or lease.
- Q. **Retention** is the portion of a **Loss** that is to be borne solely by the **Insured** with respect to each and every **Loss** covered under this Policy, and in addition to a **Deductible**, may include a Co-Payment Layer Amount consisting of a Co-Payment Layer % and a Co-Payment Layer.
- R. **Retention Aggregate** means the maximum the **Insured** will pay in **Retention** costs per **Policy Period** regardless of the number of claims filed under this Policy.
- S. **Scheduled Project** means any construction project, including a **Joint Venture(s)**, listed and described on reports provided to Vantage or otherwise scheduled to this Policy via Endorsement. Such reports shall be provided to Vantage no less frequently than on a quarterly basis. Any construction project first reported to Vantage more than 120 days after commencement of on-site construction activities shall not be deemed a **Scheduled Project** unless specifically endorsed to this Policy. However, if after diligent inquiry at the time the **Insured** first reported the **Scheduled Project** to Vantage, the **Insured** was unaware of and had no reason to anticipate any claims, **Loss(es)**, potential claims, circumstances, incidents, acts, errors, or omissions that might impact the coverage provided under the Policy, then the **Insured** may report a **Scheduled Project** to Vantage up to 1 year from the commencement of on-site construction activities.
- T. **Subcontract Amount** means the amount to be paid to the **Subcontractor** as stated in the **Covered Subcontract** if the **Subcontractor** fully performed all of its obligations under the **Covered Subcontract**, as adjusted by any **Fully Executed** change orders, provided that such change orders are **Fully Executed** prior to the date the **Insured** determines that the **Subcontractor** is in **Default of Performance**.
- U. **Subcontract Balance** means the **Subcontract Amount** less the amount paid to the **Subcontractor**.
- V. **Subcontractor** means any person or entity that is a party to a **Covered Subcontract** with the **Insured**.

However, **Subcontractor** does not include any of the following:

1. any subsidiary of the **Insured** now existing or hereafter formed or acquired, whether partially or wholly owned or controlled, or any subsidiary of a subsidiary (whether direct or indirect), parent of the **Insured**, affiliate of the **Insured**, or partnership, **Joint Venture**, limited liability company, corporation, or other legal entity of the **Insured** or in which the **Insured** is a member or participant or maintains an ownership interest;
 2. the receiver, trustee, liquidator, administrator, or similar representative appointed on behalf of any **Subcontractor**, or by its creditors, which, as of either the date the **Covered Subcontract** is **Fully Executed** or the date of **Default of Performance**, is a debtor in possession under Chapter 11 of Title 11 of the United States Code or any similar law in another country; or
 3. any legal successor to the persons or entities described in Section II.V.1. and II.V.2. above.
- W. **Substantial Completion** means the time of substantial completion of the **Scheduled Project** as that term is defined within the contract between the **Insured** and the Owner of the **Scheduled Project** or if such term is not defined therein, the time when the work under such contract is sufficiently complete such that the Owner can utilize the work for its intended use.
- X. **Tail Coverage Period** means the defined period of time after the **Substantial Completion** of a **Scheduled Project** wherein the **Insured** may file a claim under this Policy and is stated in Item 9. of the Declarations.

III. EXCLUSIONS

This insurance does not apply to **Loss** or any portions thereof:

- A. Arising from any **Covered Subcontract** that is the subject of a payment or performance bond or which the **Insured** or an entity related to or affiliated with the **Insured** is an obligee.
- B. Arising from any **Subcontractor** who is in or to whom the **Insured** has issued written notice of **Default of Performance** as to any contract, subcontract, or other agreement between or among the **Subcontractor** and the **Insured**, and such notice of default has not been rescinded on or before the date upon which any subcontract that the **Insured** seeks to make a **Covered Subcontract** has been **Fully Executed**. Vantage may, at its sole discretion, agree to add coverage for any such **Subcontractor** via specific Endorsement to this Policy, in which case this exclusion will not apply as to such **Subcontractor**.
- C. To the extent resulting, directly or indirectly, from any act, omission, or from any misrepresentation, which act, omission, or misrepresentation is fraudulent or dishonest, and which act, omission, or misrepresentation is committed by the **Insured**, the **Insured's** representatives, the **Insured's** agents, or anyone acting on the **Insured's** behalf.
- D. Arising, whether directly or indirectly, out of any Act of Terrorism, whether certified by the United States government or not, which means an act, or preparation in respect of action, or threat of action, designed to influence the government *de jure* or *de facto* of any nation or any political division thereof, or in pursuit of political, religious, ideological, or similar purposes to intimidate the public or a section of the public of any nation by any person or group(s) of persons whether acting alone or on behalf of or in connection with any organization(s) or government(s) *de jure* or *de facto*, and which:
 1. involves violence against one or more persons;
 2. involves damage to property;
 3. endangers life other than that of the person committing the action; or
 4. creates a risk to health or safety of the public or a section of the public.
- E. Arising from any consequence, whether direct or indirect, of war, invasion, act of foreign enemy, hostilities regardless of a declaration of war or similar conflict, civil war, rebellion, revolution, insurrection or military or usurped power, riot, or civil commotion.
- F. Arising out of, caused by, resulting from, contributed by, or in connection to biological, chemical, radioactive,

or nuclear pollution, contamination, or explosion.

- G. Arising out of the rendering of or failure to render **Design Services** by the **Subcontractor**. This exclusion shall apply only to that portion of the **Loss** attributable to the **Subcontractor's** rendering or failure to render **Design Services**. This exclusion does not apply to the normal supervisory duties of a **Subcontractor** on a construction project, or a **Default of Performance** by a **Subcontractor** engaged by the **Insured** whose work under the **Covered Subcontract** as to which there has been a **Default of Performance** is primarily construction, but who also may provide **Design Services** that are necessary for and a predicate to performance of the construction work required by the **Covered Subcontract**.
- H. Arising from or related to, either directly or indirectly, **Bodily Injury**.
- I. Arising from, either directly or indirectly, a **Production Project**, unless otherwise endorsed to this Policy.
- J. Arising from any **Covered Subcontract** that is purchased, assumed, or otherwise acquired by the **Insured** from any other person or entity, or that has been sold or otherwise transferred or assigned by the **Insured** to any other person or entity.
- K. Arising from any damages awarded by a court or other tribunal that are punitive or exemplary damages, or that are any multiple of actual damages, such as double or treble damages.
- L. Arising from any otherwise **Covered Subcontract** where a payment or performance bond has been provided with respect to a separate subcontract or similar agreement between the **Insured** and the **Subcontractor** with respect to the same **Scheduled Project**, unless submitted for underwriting review, and if approved, specifically endorsed to this Policy.
- M. Arising from any **Loss** resulting from a failure, violation, or breach of any guaranty or warranty or any guaranty of warranty obligations, whether written or implied, of the efficacy of work with regard to optimal performance specifications.
- N. Arising from any subcontract where, as of the date of the **Default of Performance**, the Owner of a **Scheduled Project** has agreed to indemnify the **Insured** with respect to the subcontractor's inability to complete the subcontract. Vantage may, at its sole discretion, agree to add coverage despite any such Owner indemnification, via specific Endorsement to this Policy, including, but not limited to, where such Owner indemnification is partial indemnification and not full indemnification.
- O. Arising from any otherwise **Covered Subcontract** where a non-residential **Scheduled Project** has been converted to a **Residential Project** prior to **Substantial Completion**, unless otherwise specifically endorsed to this Policy.
- P. Arising from any otherwise **Covered Subcontract** where the **Insured** has contractually or through other means limited the liability of a **Subcontractor** or otherwise has impaired Vantage's subrogation rights hereunder, but only such amounts greater than the limitation of liability agreed to by the **Insured**.

IV. COVERAGE TERRITORY

This insurance only applies to claims made or brought in the continental United States, Alaska, or Hawaii, for **Loss(es)** arising from any **Scheduled Project** located in the continental United States, Alaska, or Hawaii.

V. INSURED RETENTIONS

- A. The **Insured's Retention** is the amount of **Loss** that is to be borne solely by the **Insured** as defined in Section II.Q. above.
- B. The **Deductible** component of the **Insured's Retention** is stated in Item 4.(a) of the Declarations.
- C. The Co-Payment Layer Amount component of the **Insured's Retention**, if any, applies to any one **Loss** after application of the **Deductible**. The **Insured's** Co-Payment Layer Amount, if any, consists of a Co-Payment Layer % stated in Item 4.(b) of the Declarations and a Co-Payment Layer stated in Item 4.(c) of the Declarations.
- D. The **Insured's** total liability for all **Retention** amounts for all **Loss**, whether **Deductible** or Co-Payment

Layer Amount or both, shall not exceed the **Retention Aggregate** stated in Item 5.(a) of the Declarations.

- E. The **Insured's** rights and duties in the event of a **Default of Performance** apply regardless of the application of any and all **Retention** amounts.
- F. The **Insured's** liability for any and all **Retention** amounts apply regardless of whether any other policies issued by Vantage or any other insurer also apply and must be paid by the **Insured**.

VI. LIMITS OF INSURANCE

- A. The Limits of Insurance stated in Item 3. of the Declarations and the rules below determine the most Vantage will pay regardless of the number of:
 - 1. **Insured(s)**;
 - 2. **Subcontractor(s)**;
 - 3. **Loss(es)**;
 - 4. Claims or suits brought; or
 - 5. Persons making claims or bringing suits.
- B. The Policy Aggregate **Loss** Limit stated in Item 3.(a) of the Declarations is the most Vantage will pay for **Loss** during any **Policy Period** in excess of the **Retention** amounts from all **Defaults of Performance**, as described below. Once the Policy Aggregate **Loss** Limit in any **Policy Period** has been completely eroded, Vantage shall not have any further obligation to indemnify the **Insured**.
- C. Subject to Section VI.B. above, the most Vantage will pay for any one **Loss** will be the lesser of: (1) the Single **Loss** Limit of Insurance stated in Item 3.(b) of the Declarations; or (2) the Variable **Loss** Limit Multiplier, stated in Item 3.(c) 1. of the Declarations, times the **Subcontract Amount**. If the Variable **Loss** Limit Multiplier is listed as "Not Applicable" or "N/A", then the most the Company will pay for any one **Loss** will be the Single **Loss** Limit of Insurance listed in Item 3.(b) of the Declarations.
- D. Subject to Section VI.B. and VI.C. above, Vantage will not pay more than the **Indirect Costs** Sublimit set forth in Item 3.(c) 2. of the Declarations for all **Indirect Costs** that result from a **Default of Performance**. Any amounts that Vantage pays to indemnify **Indirect Costs** will erode the Single **Loss** Limit of Insurance, or the Variable **Loss** Limit Multiplier times the **Subcontract Amount**, applicable to the coverage provided for any one **Loss**.

VII. CLAIMS

- A. The burden of proving that the **Insured** has complied with the terms and conditions of, and the extent to which a **Loss** is recoverable under, this Policy shall fall solely upon the **Insured**. There are no third-party beneficiaries of this Policy.
- B. The **Insured** must give written notice of a claim or potential claim to Vantage within 90 days from the earliest of: 1) issuance of a notice of **Default of Performance** to a **Subcontractor** under a **Covered Subcontract**; 2) the time the **Insured** becomes aware of the **Financial Distress** of a **Subcontractor**; or 3) the time that the **Insured** incurs expenses for which the **Insured** is not entitled to reimbursement from the Owner regarding a **Covered Subcontract** in excess of the Supplementation Default Threshold set forth in Item 8.(d) of the Declarations. Any written notice of claim or potential claim reported to Vantage after 90 days shall not be a covered **Loss**.

The written notice of claim or potential claim to Vantage shall identify the **Subcontractor**, state in detail the facts or events that may give rise to a **Loss** and provide sufficient additional information so as to reasonably inform Vantage of the circumstances and current status of the potential **Loss**.

- C. In the event of a **Loss**, the **Insured** must submit to Vantage satisfactory **Proof(s) of Loss** documenting its entire claim, as defined in Section II.N. herein. All such **Proofs of Loss** must be submitted by the earlier of:

1. the expiration of the **Tail Coverage Period**;
2. the expiration of the right to seek recovery from the **Subcontractor** for breach of the **Covered Subcontract** in connection with a **Default of Performance** under this Policy; or
3. the expiration of any statute of limitation or repose applicable to a claim against the **Subcontractor** for breach of the **Covered Subcontract** relative to the **Default of Performance**.

Vantage will not accept any **Proofs of Loss** submitted after the earlier of Section VII.C.1., VII.C.2., or VII.C.3. above or any **Proofs of Loss** submitted fewer than 90 days prior to the expiration of any limitation period or statute of repose, nor will it indemnify the **Insured** for any amounts reflected on such **Proofs of Loss**.

D. Subject to the provisions of this Policy and the Limits of Insurance, Vantage's indemnification of **Loss** shall be determined utilizing the following calculation:

1. Add the following costs and expenses paid by the **Insured**, that result directly from a **Default of Performance** by the **Insured's Subcontractor** under a **Covered Subcontract** on a **Scheduled Project**:
 - a. costs paid by the **Insured**, either subcontracted or self-performed, for labor, materials, and equipment necessary to complete the actual construction work within the scope of work of the **Covered Subcontract**, provided that, if the work was self-performed, the **Insured** shall also be entitled to recover as overhead and profit the lesser of:
 - (1) the percentage for overhead and profit that the defaulted **Subcontractor** would be entitled to under the **Covered Subcontract** for self-performed work; or
 - (2) 15% of the labor, materials, and equipment costs of the self-performed work;
 - b. acceleration costs paid by the **Insured** to the persons or entities that complete the actual construction work within the scope of work of the **Covered Subcontract** after a **Default of Performance**;
 - c. amounts due but unpaid by the defaulted **Subcontractor** to lower tier subcontractors, vendors, or other third parties, which amounts are paid by the **Insured**, for labor, materials, and equipment furnished to complete the actual construction work within the scope of the **Covered Subcontract**;
 - d. costs paid by the **Insured** for the labor, equipment, and materials used in the correction of defective or nonconforming work or materials within the scope of work of the **Covered Subcontract**, including the cost to demolish, modify, replace, or repair other work in order to access and correct such defective or nonconforming work or materials, but these costs do not include any amount that the **Insured** or a **Subcontractor** is legally obligated to pay as damages resulting from such defective or nonconforming work or materials; and
 - e. Legal and other professional expenses paid by the **Insured** that are reasonably necessary to:
 - (1) prepare and present a claim against this Policy; or
 - (2) pursue recovery of damages from the defaulting **Subcontractor** or any third party pursuant to obligations contained in this Policy.

Notwithstanding any of the foregoing, Vantage will not pay any legal or other professional expenses where the fees or rates charged to the **Insured** are not reasonable and customary for the services provided. Further, Vantage shall not be obligated to indemnify the **Insured** for any legal or other professional expenses hereunder until the **Insured** submits to Vantage unredacted invoices for such legal or other professional expenses, providing a detailed description of the legal or other professional work performed for which reimbursement is sought.

2. Subtract the **Subcontract Balance** from the amount determined in Section VII.D.1.
3. Subtract all amounts retained, withheld, recovered, or otherwise obtained by the **Insured** from the

amount determined in Section VII.D.2.

4. Determine the amount of **Indirect Costs** excluding any amounts in excess of the **Indirect Costs** Sublimit set forth in Item 3.(c)2. of the Declarations.
 5. Add the amount determined in Section VII.D.4. to the amount determined in Section VII.D.3.
 6. Subtract the **Deductible** from the amount determined in Section VII.D.5.
 7. Multiply the lesser of either the amount determined in Section VII.D.6. above, or the Co-Payment Layer set forth in Item 4.(c) of the Declarations by the Co-Payment Layer % stated in Item 4.(b) of the Declarations.
 8. Subtract the amount determined in Section VII.D.7. above from the amount determined in Section VII.D.6. above.
 9. Select the least of the following: the amount determined in Section VII.D.8. above; the applicable Single Loss Limit of Insurance; or the Variable Loss Limit Multiplier as stated in Item 3.(c)1. of the Declarations times the Subcontract Amount (whichever is applicable).
- E. Where the construction contract between the **Insured** and the Owner of the **Scheduled Project** provides for project contingency funds and certain funds are allocated or otherwise designated for contingent use with regard to a certain trade(s) or subcontract(s), then such allocated or otherwise designated project contingency funds will be included in the calculation of **Loss** as outlined under Section VII.D. above. The amount of such funds will be subtracted from the amount that Vantage otherwise would be obligated to pay hereunder relative to a **Default of Performance** and will reduce the amount of **Loss** indemnified under this Policy to the extent such allocated or otherwise designated project contingency funds are used in connection with a **Default of Performance**. Nothing contained in this provision shall in any way limit the **Insured's** obligations for the **Retention** amounts as listed in Items 3., 4., and 5. of the Declarations.
- F. Multiple **Defaults of Performance** by the same **Subcontractor** on one or more **Covered Subcontract(s)** on one or more **Scheduled Project(s)** during a single **Policy Period** constitutes a single **Loss**. **Loss(es)** will be attributed to the **Policy Period** in which the **Scheduled Project** was listed and described on a report provided to Vantage, not the year(s) in which **Loss(es)** are actually paid by the **Insured**.
- G. The **Insured** may submit interim **Proof(s) of Loss**. In the event that Vantage determines that any claim submission made by the **Insured** in support of its **Proof of Loss** or interim **Proof of Loss** fails to satisfy the requirements of a **Proof of Loss** as defined in Section II.N. herein, then Vantage will notify the **Insured** of the deficiencies within 30 days after receipt of the **Insured's Proof of Loss** or interim **Proof of Loss** submission. Vantage will indemnify the **Insured** for **Loss**, or that portion of a **Loss** reflected in an interim **Proof of Loss**, within 30 days after Vantage determines that the **Proof of Loss** or interim **Proof of Loss** is satisfactory.
- H. Upon a determination by a legally binding authority that a **Loss** (or any portion thereof) does not arise out of a **Default of Performance** of a **Subcontractor**, the **Insured** must reimburse to Vantage all payments made by Vantage to the **Insured** hereunder in connection with such claimed **Loss**, but only to the extent that the claimed **Loss** (or any part or portion thereof) does not arise out of a **Default of Performance** as per such determination. Such reimbursement payment shall be transmitted to Vantage no later than 30 days from the date of demand for such reimbursement.
- I. **Proof of Loss** and any amounts claimed as covered **Loss** under this Policy are subject to audit by Vantage in accordance with Section IX.C. of this Policy.
- J. In the event the **Insured** and Vantage cannot agree on the amount owed under this Policy or cannot agree on the amount of **Loss**:
1. The **Insured** must provide Vantage with written notice of intent to commence dispute resolution, identifying the specific disputes that the **Insured** seeks to have resolved and the amount (if any) that the **Insured** seeks to recover from Vantage.

2. Within 30 days of Vantage's receipt of the **Insured's** notice, Vantage will provide the **Insured** with a sufficiently detailed response stating Vantage's position and the basis therefor.
 3. If Vantage does not respond to the **Insured's** notice within 30 days of Vantage's receipt thereof, then the dispute shall be resolved pursuant to Section **IX.M.** of this Policy.
- K. In the event of a **Loss**, Vantage will provide the **Insured** with additional amounts to be utilized against costs and expenses incurred by the **Insured** through the use of third-party consultants or other third-party experts retained by **Insured** to assist with the investigation and documentation of the **Loss**. The available Claims Expert Sublimit amounts, both per **Loss** and in the aggregate, are listed in Item 3.(c) 3. of the Declarations. To the extent used by the **Insured**, these amounts shall not be considered in the calculation of **Loss** outlined in Section **VII.** herein up to, but not in excess of, the sublimits reflected in Items 4.(a) and 4.(c) of the Declarations. Further, the **Insured's Retentions** do not apply, and these amounts will not erode the **Retention Aggregate**.

Notwithstanding any of the foregoing, Vantage will not pay any legal or other professional expenses where the fees or rates charged to the **Insured** are not reasonable and customary for the services provided. Further, Vantage shall not be obligated to indemnify the **Insured** for any legal or other professional expenses hereunder until the **Insured** submits to Vantage unredacted invoices for such legal or other professional expenses, providing a detailed description of the legal or other professional work performed for which reimbursement is sought.

VIII. SUBROGATION AND RECOVERY

- A. In the event of any payment made by Vantage under this Policy:
1. Vantage shall be subrogated, to the extent of such payment, to all the **Insured's** rights, causes of action, and claims against any and all persons or entities that may be liable for the **Loss** or any portion thereof, including but not limited to the defaulted **Subcontractor** and any insurer that may be obligated to indemnify the **Insured**, the defaulted **Subcontractor**, or any third-party for the **Loss** (or any portion thereof); and
 2. at Vantage's request, the **Insured** shall assign to Vantage all of the **Insured's** rights, claims, causes of action, liens, security interests, and other interests against any persons or entities that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof.
 3. Unless otherwise agreed by Vantage in writing, Vantage shall have the sole right, but not the obligation, to pursue any and all claims and causes of action against any person or entity that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof, in its own and sole discretion. Vantage's decision to pursue or forgo pursuit of any such claim or cause of action shall be binding upon the **Insured**.
- B. At all times, the **Insured** must take all reasonable steps and actions to preserve all claims, causes of action, rights of recovery, and interests against all persons or entities that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof. The **Insured** shall not do anything to prejudice such rights, claims, causes of action and interests, and shall take all reasonable steps and actions necessary to avoid any such prejudice. The **Insured** must cooperate with Vantage in the investigation, settlement, and defense of any claim or suit; and the **Insured** must assist Vantage, upon reasonable request, in the enforcement of any right, claim, cause of action, or interest against any person or entity that may be liable for a **Loss** (or who may be obligated to indemnify therefor) or for any portion thereof.
- C. In the event that a **Covered Subcontract** or other legally binding agreement waives, precludes, or otherwise impairs Vantage's right to subrogate (in whole or in part) to the **Insured's** rights and claims against any person or entity who may be responsible, liable, or obligated to indemnify for any **Loss** (or any portion thereof) then such amounts in excess of such waiver, preclusion, or other impairment shall not be deemed to be a part of a **Loss**, and to the extent such amounts in excess are paid by Vantage to the

Insured, the **Insured** must reimburse Vantage all payments made by Vantage to the **Insured** to indemnify for such **Loss** hereunder, but only to the extent of the amount(s) that the waiver, preclusion, or other impairment prevents Vantage from collecting from such person or entity.

- D. After payment of the **Loss** (or any portion thereof), any recovery of the **Loss** (or any portion thereof) shall be paid to Vantage and shared between Vantage and the **Insured** as follows:
1. First, Vantage will be fully reimbursed for all costs and expenses paid by Vantage in the pursuit of recovery, including but not limited to, attorneys' fees, consultants' fees, expert witness fees, and internal costs and expenses;
 2. Next, the **Insured** and Vantage will share any remaining funds *pro rata*, based on the percent of the **Retention** amounts that were applied to the **Loss**; however, the **Insured's** share of any remaining funds cannot exceed the **Retention** applied to the **Loss**; and
 3. To the extent that the recovery of funds or salvage results in an amount greater than the amount of the **Loss** plus the **Retention**, then the excess recovery amount shall be paid to Vantage.

The application of amounts recovered as described above shall apply regardless of any other characterization or application of such amounts by any person.

- E. In the event of a claim where the **Insured** reasonably anticipates **Loss(es)** equal to or less than the **Retention**, certain funds shall be available to the **Insured** to further its recovery efforts, and the available Recovery Funds Sublimit per **Loss** amount is listed in Item 3.(c) 4. of the Declarations. These amounts shall not be considered in the calculation of **Loss** outlined in Section VII. up to, but not in excess of, the sublimits reflected in Items 4.(a) and 4.(c) of the Declarations. The **Retentions** do not apply to such costs and expenses, and such costs and expenses will not erode the **Retention Aggregate**.

IX. CONDITIONS

A. Loss Mitigation

1. The **Insured** shall immediately cease awarding subcontracts to any subcontractor that is in **Default of Performance**.
2. In the event the **Insured** becomes aware of acts or omissions by a **Subcontractor** that may give rise to a **Loss**, the **Insured** shall immediately cease awarding subcontracts to the **Subcontractor**, regardless of whether the **Insured** seeks to make a subcontract a **Covered Subcontract** or not, and take all reasonable and timely actions appropriate to preserve all claims, causes of action, and rights of recovery against such **Subcontractor** and any third party who may be liable for any **Loss** or who may be obligated to indemnify therefor.
3. The **Insured** agrees to use all reasonable measures to prevent and to mitigate **Loss** at all times.

B. Owner Reimbursement

The **Insured** shall not seek any amounts under this Policy that have not been actually paid by the **Insured** or legally withheld by the owner of the **Scheduled Project** as a result of a **Default of Performance** of a **Subcontractor**, and the **Insured** shall return to Vantage any amounts that Vantage paid to the **Insured** under this Policy that do not result directly from a **Default of Performance** no later than 30 days from the date of demand for such reimbursement. Further, to the extent the **Insured** is reimbursed by the Owner of a **Scheduled Project** for any **Loss** paid by Vantage under this Policy, then an amount equal to such reimbursement shall be transmitted to Vantage no later than 30 days from the date of demand for such reimbursement.

C. Audits and Billings

1. Premium shown in Item 10. Of the Declarations, if applicable, is a Deposit Premium only. Further, Premium shown in Item 11. of the Declarations, if applicable is a Minimum Premium only for the corresponding **Policy Period**.

2. At the close of each reporting period, Vantage will calculate the Premium for that period and send notice to the first Named **Insured** shown in Item 1. of the Declarations. The calculation of such Premium shall be equal to the Premium Rate listed on Item 7. of the Declarations multiplied by the total of all Subcontract Amounts reported during such period. The due date for any Premiums, if applicable, is the date shown as the due date on the invoice. If the sum of the deposit Premiums paid for the **Policy Period** is greater than the calculated Premium, then Vantage will return the excess to the first Named **Insured** shown in Item 1. of the Declarations. If the sum of the deposit Premiums paid for the **Policy Period** is less than the calculated Premium, the **Insured** must pay the balance owed to Vantage.
3. The **Insured** warrants and represents that it will provide Vantage with the information necessary to conduct final Premium audits on **Scheduled Projects** within 120 days from the date of **Substantial Completion** of each **Scheduled Project**.
4. Vantage shall have the right of access to all books, records, accounts, communications, other documents, and any of the information contained therein, including, but not limited to, financial data and information pertaining to subcontractors, that are in the **Insured's** possession or control, even if in the possession of a third party, that Vantage deems necessary to inspect, copy, or otherwise review relating in any manner to this Policy or coverage hereunder. At Vantage's request, the **Insured** must take any and all reasonable steps to obtain such documentation and information in the possession of others. At all times, Vantage will treat the **Insured's** proprietary information as confidential unless required by law to otherwise disclose.
5. To the extent required by law or contract, the **Insured** warrants and represents that it will obtain the necessary permission(s), as well as evidence thereof, in connection with Vantage's rights as described in Section **IX.C.4.** above.

D. Cancellation

1. Vantage is not permitted to cancel this Policy, except under the following circumstances:
 - a. Nonpayment of Premium;
 - b. Upon a change in the composition of the **Insured**, as provided in Section **IX.E.** below;
 - c. As provided in Section **IX.N. False or Fraudulent Statements, Report or Claims Concealment** below; or
 - d. Upon a material violation or a series of violations in the **Insured's** application of the **Qualification and Management Procedures**.
2. Should Vantage elect to cancel this Policy pursuant to Section **IX.D.1.a.**, **IX.D.1.b.** or **IX.D.1.c.** above, then Vantage shall deliver to the first Named **Insured** shown in Item 1. of the Declarations written notice of cancellation, stating the date the cancellation is effective, which date shall not be less than ten calendar days from the date of the notice of cancellation.
3. Should Vantage elect to cancel this Policy pursuant to Section **IX.D.1.d.** above, then Vantage will provide the **Insured** with notice of intent to cancel this Policy. This notification will set forth the violation(s) of the **Insured's Qualification and Management Procedures** causing Vantage to issue the notice and will provide the **Insured** 30 days to cure its violation(s) to Vantage's satisfaction, from the date of the notice. If the **Insured** has not provided a cure during this period to Vantage's satisfaction, then Vantage may cancel this Policy 30 days after the date of the notice that initiated the cure period.
4. The effective date of cancellation of this Policy shall be the earlier of the end of the **Policy Period** as shown in Item 2. of the Declarations or the date of cancellation as provided in Section **IX.D.2.** or **IX.D.3.** above.
5. The **Insured** will have 60 days from the effective date of cancellation of this Policy to report to Vantage

a final reconciliation of all **Covered Subcontract(s)** in connection with all **Scheduled Project(s)** that have been **Fully Executed** prior to the effective date of cancellation. If the **Insured** fails to provide such a reconciliation within this 60-day period, then Vantage will determine the final reconciliation unilaterally. Cancellation of this Policy will not affect coverage under this Policy for **Loss** arising out of a **Default of Performance** under any **Covered Subcontract** included on the final reconciliation.

6. If this Policy is canceled, a return of any Premium properly due to be refunded to the **Insured** will be made to the **Insured**. The amount of return Premium shall be calculated as the Policy Premium paid less the Premium attributable to any **Covered Subcontract** included on the final reconciliation, subject to any applicable minimum Premium stated in Item 11. of the Declarations.

E. **Change in Composition of the Insured**

The **Insured** must notify Vantage in writing, within 30 days, if, during the **Policy Period**, the **Insured** consolidates, merges with, or sells all or substantially all of the **Insured's** assets to any other person or entity, or if another person or entity should acquire beneficial ownership of a majority of the shares of the **Insured** with ordinary voting power in the election of directors. If the **Insured** fails to notify Vantage within the period described above, then this Policy may be canceled retroactive to the effective date of the change in the composition of the **Insured**, at Vantage's sole discretion.

F. **Choice of Law**

In the event of any dispute between the **Insured** and Vantage relating in any manner to this Policy, then Section IX.M. of this Policy shall dictate and control with regard to choice of law.

G. **Assignment**

The **Insured** cannot and shall not assign its rights under or interests in this Policy and cannot and shall not assign any claim against Vantage under this Policy, or the proceeds of such claim prior payment thereof by Vantage to the **Insured**, absent Vantage's written consent specifically endorsed to this Policy. Any such assignment in the absence of Vantage's written consent specifically endorsed to this Policy shall be void and shall not be binding upon Vantage. The only legal entity with any rights of action or otherwise under this Policy is the **Insured**.

H. **Other Insurance**

1. If other valid insurance exists to protect, insure, or indemnify the **Insured** from and against any **Loss**, damage, cost, or expense that may constitute a **Loss**, then this Policy shall not provide any coverage for the risks and hazards that are covered by such other valid insurance, unless and until the coverage provided by such other valid insurance is completely exhausted.
2. In any instance where this Policy is held to provide coverage notwithstanding the existence of other valid insurance as described in Section IX.H.1 above, the coverage provided by this Policy is and shall be excess, only, over and above the coverage provided by all such other valid insurance, including any **Deductible** or **Retention** under such other insurance. This Policy shall be implicated only when all such other valid insurance has been completely exhausted.

I. **Changes**

The terms and conditions of this Policy cannot be released, waived, or otherwise changed unless specifically endorsed to this Policy.

J. **Sole Agent**

The first Named **Insured** shown in Item 1. of the Declarations shall be the only person or entity authorized to act on behalf of all **Insured(s)** for all purposes, including but not limited to the payment or return of Premium, receipt and acceptance of any Endorsement issued to form a part of this Policy, complying with all applicable notice provisions, and giving and receiving notice of cancellation or non-renewal. Vantage shall not be obligated to respond to any claims, notices, correspondence, or communications submitted or

sent to Vantage by any other person or entity.

K. Declarations

By acceptance of this Policy, the **Insured** represents and warrants that the statements made in the **Qualification and Management Procedures** and otherwise made to Vantage to induce it to provide this Policy to the **Insured** are the **Insured's** agreements and representations; and the **Insured** warrants the truth and accuracy of all such agreements and representations and acknowledges that Vantage provides this Policy in specific reliance upon the truth and accuracy of all such agreements and representations.

L. Acknowledgement of Circumstances

The **Insured** warrants and represents that, as of 12:01 AM on the first day of the **Policy Period**, the **Insured** has no knowledge of any facts or circumstances that may reasonably be anticipated to result in a **Loss** except for those that were specifically disclosed to Vantage in writing prior thereto.

M. Dispute Resolution

All disputes relating in any manner to, or arising in any manner from, this Policy shall be resolved as follows, and in no other manner:

1. The **Insured** and Vantage shall submit such dispute(s) to mediation. The mediation shall be conducted by a single mediator. If the parties cannot agree upon a mediator, then the parties shall mediate through National Arbitration and Mediation (NAM). The rules of NAM shall apply to such mediation except to the extent that they are inconsistent with anything herein, in which case the terms of this Policy shall govern.

Unless the parties agree otherwise in writing, the mediator shall be selected by the NAM administrator from NAM's roster of mediators in the New York City metropolitan area who either identify themselves as having experience mediating construction disputes or who are former judges. If the parties cannot agree on a location for the mediation, then the mediation shall take place at NAM's office in Manhattan. Mediation shall be a condition precedent to any other dispute resolution proceedings. The fees of the mediator, any filing fees, and all similar costs and expenses shall be shared by the parties equally. Notwithstanding any language to the contrary elsewhere in this Policy, each party shall bear its own attorney's fees, other professional fees (such as the fees of experts), costs, and expenses that relate in any manner to such mediation.

2. If the parties are unable to resolve their dispute(s) (in whole or in part) through mediation, then, unless otherwise agreed by Vantage in writing, any such dispute(s) shall be resolved by way of litigation commenced and maintained exclusively in either the United States District Court for the Southern District of New York or the Supreme Court of the State of New York, County of New York, Commercial Division, and in no other forum. The **Insured** and Vantage irrevocably and unconditionally consent to jurisdiction in such courts, and waive any defense based upon a lack of personal jurisdiction except a defense alleging the failure of, improper, or inadequate service of process. Neither party shall seek punitive, exemplary, treble, non-pecuniary, special, or similar damages in any such litigation. All claims to such damages are expressly waived. In addition, the **Insured** otherwise shall not seek damages from Vantage in excess of the applicable Limits of Insurance of this Policy, including any **Loss** or **Indirect Costs** Sublimit.

Notwithstanding any language to the contrary elsewhere in this Policy, each party shall bear its own attorney's fees, other professional fees (such as the fees of experts), costs, and expenses that relate in any manner to such litigation.

3. Neither the **Insured** nor anyone acting on its behalf shall commence any action against Vantage relating in any manner to this Policy unless the **Insured** has complied with all of the terms and conditions of this Policy.

Unless otherwise agreed by Vantage in writing, any action against Vantage relating in any manner to this Policy must be commenced not later than the later of (a) four years from the effective date of

termination of the **Covered Subcontract** or (b) six months from the date of Vantage's issuance of final payment or other final disposition of the claim that is in dispute.

N. False or Fraudulent Statements, Report or Claims Concealment

If at any time the **Insured**, the **Insured's** representatives, or the **Insured's** agents make any statement, report, or claim to Vantage (or anyone acting on Vantage's behalf) that they (or any of them) know to be false or fraudulent, or if the **Insured**, the **Insured's** representatives, or the **Insured's** agents knowingly conceal any material fact from Vantage (or anyone acting on Vantage's behalf), at any time, then Vantage may, at Vantage's sole option, rescind this Policy *ab initio*. In the event of a rescission, all **Loss** amounts paid by Vantage shall be returned to Vantage, with interest at the post-judgment interest rate prescribed by New York law, by the **Insured** upon demand. All Premium paid by the **Insured** hereunder shall be returned to the **Insured** by Vantage.